

COMPARISON OF PERSONALIZED MARKETING STRATEGIES BETWEEN TIKTOK AND GOOGLE

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Abstract

This paper looks at how Google and TikTok approach personalized marketing differently and what that means for their advertising performance. They both use complex methodology to target users, but in different ways. Google focuses on what users are actively searching for, using that intent to deliver relevant ads. TikTok, on the other hand, learns from how users interact with content, what they watch, like, shares and builds a personalized feed from there. To compare them, this paper reviews existing academic and industry literature alongside advertising revenue data from 2020 to 2024. The results show that while TikTok has been growing at a much faster rate, Google still brings in significantly higher total revenue because it catches users right when they are ready to buy. Together, the two platforms show that there is no better approach to personalized marketing, it depends on what the goal is by businesses or marketers' purpose.

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Introduction

The development of digital technology has significantly transformed the marketing landscape. Businesses increasingly rely on data-driven strategies to reach consumers more effectively, with personalized marketing becoming one of the most influential approaches in modern advertising. Personalized marketing refers to the use of consumer data, analytics, and algorithms to make sure that ads messages to individual users, allowing companies to provide relevant content which aligns with user interests and preferences.

Among the leading platforms in digital advertising, Google and TikTok have adopted distinct personalized marketing strategies. Google has long dominated the digital advertising industry through its search engine and advertising services, which use search queries and user data to deliver highly targeted advertisements. In contrast, TikTok has rapidly emerged as a powerful social media platform that utilizes advanced recommendation algorithms to personalize user feeds and promote content through short-form videos.

Despite the growing importance of personalized marketing in digital platforms, there is limited comparative research examining how different platforms implement personalization and how these strategies influence marketing outcomes. Therefore, the purpose of this study is to compare the personalized marketing strategies of Google and TikTok and measures their effectiveness based on advertising revenue trends from 2020 to 2024. By analyzing the technological mechanisms and marketing impacts of these platforms, this study aims to provide insights into how personalized marketing contributes to digital advertising success.

Literature Review

1. Personalized Marketing

Recent studies related to personalized marketing have utilized a combination of actual analysis, conceptual frameworks, and data-driven methodologies to deep dive into how consumer data can enhance marketing effectiveness. Personalized marketing is known as the essential method of delivering the promotion, advertisement and suggestion based on the expenditure and interest. For example, Chandra et al. (2022) conducted a review of personalization research to identify key trends and future directions, while Hassan et al. (2025) used experiment data from AI-driven e-commerce platforms to identify those personalized recommendations which influence customers' trust, satisfaction, and loyalty.

Similarly, Shen (2014) also explains that recommendation systems function as a key component of personalized marketing. These systems deeply dive into the interactions of consumers based on historical data of purchasing and users' experiences in order to generate the relevant suggestions that match individual preferences, as well as enhancing customer relationships and improving marketing outcomes.

2. Artificial Intelligence in Personalized Marketing

The effectiveness of personalized marketing strategies showed the essential enhancement leaning on the development of artificial intelligence and machine learning. According to Saurabh Chandra et al. (2022), AI technologies enable digital platforms to analyze large datasets and

identify patterns in consumer spending. These high-tech applications allow businesses or marketers to suggest relevant marketing content based on user engagement.

While both platforms use machine learning for personalization marketing, Google focuses on user intent through data searching, whereas TikTok prioritizes real-time engagement signals, reflecting differences between search and social media environments, as noted by Google. (n.d.) and Vombatkere et al. (2024).

3. Personalized Marketing on Google

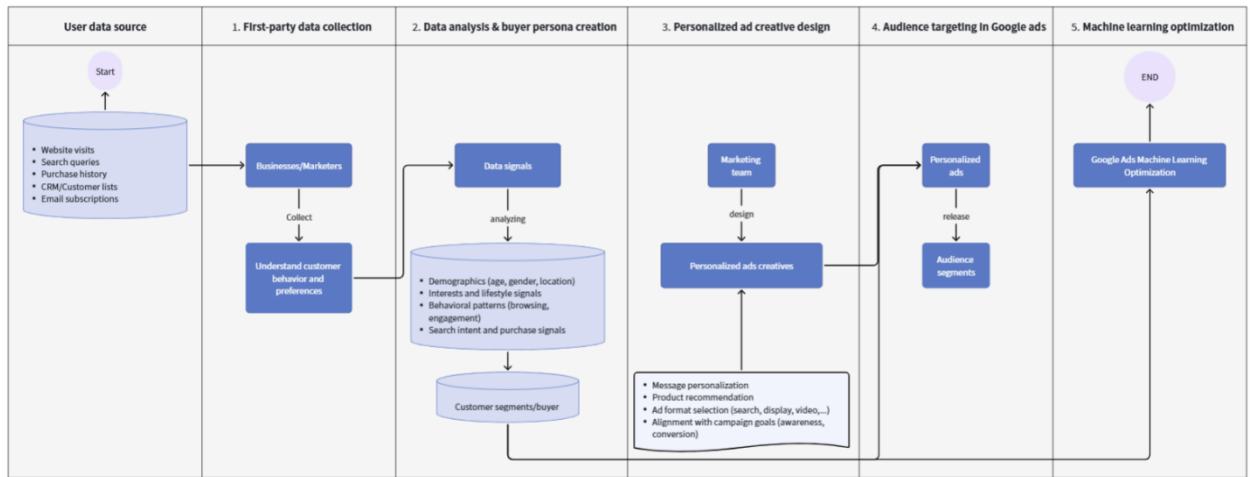


Figure 1 Personalized Google Ads Process (Conceptual Framework)

The conceptual framework in Figure 1 integrates Google Ads documentation with existing literature on personalized marketing (Google. n.d.; Chandra et al., 2022; Shen, 2014). It presents a five-stage process, starting from first-party data collection to machine-learning optimization.

First of all, user data has been collected from sources such as search queries, website visits, and purchase history. Earlier research noticed that first-party data is essential for understanding

consumer behavior and enabling effective personalization (Chandra et al., 2022). This data is then analyzed to generate insights, including demographics, behavioral patterns, and search intent, which support the creation of customer segments or buyer personas, an essential step in targeted marketing (Shen, 2014).

According to the mentions, businesses or marketers design individual ads based on user preferences and campaign objectives. These advertisements are then delivered to specific audience segments within Google Ads. On top of that, search-based advertising captures users intent explicitly, increasing the likelihood of conversion. This is also supported by evidence showing that personalized and intent-driven recommendations positively influence consumer decisions (Hassan et al., 2025).

Finally, machine-learning optimization keep up with refining ad performance through real-time data feedback, enhancing the effectiveness of personalized marketing strategies over time (Chandra et al., 2022).

4. Personalized Marketing on TikTok

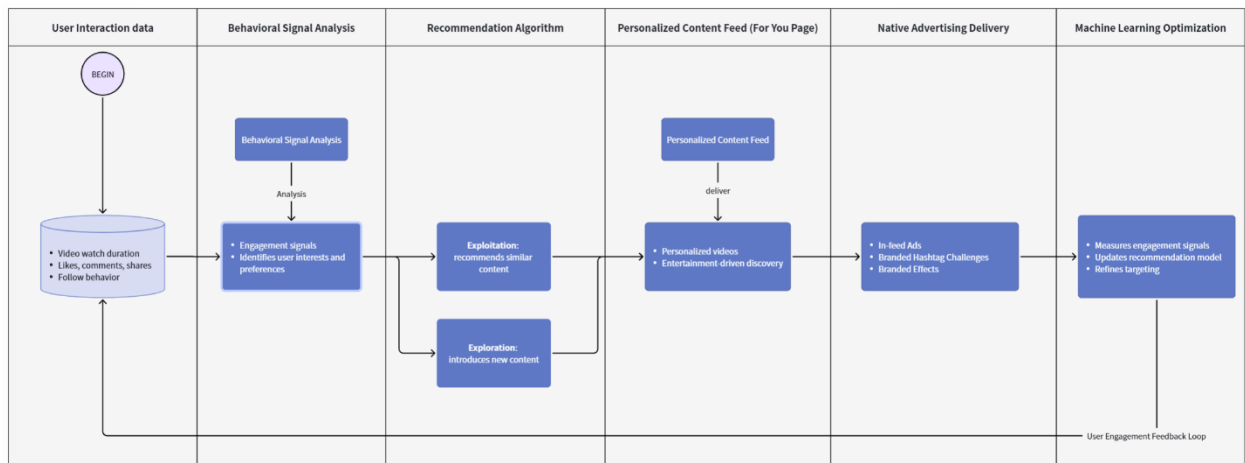


Figure 2 Personalized TikTok Ads Process (Conceptual Framework)

Contrasting Google’s model, TikTok relies on algorithmic content recommendations to personalize user experiences. The platform’s “For You Page” algorithm analyzes user interactions such as likes, comments, shares, and watch duration to categorize which content should be displayed effectively (TikTok. n.d.)

Research conducted by Vombatkere et al. (2024) shows that TikTok’s recommendation system balances exploration and exploitation. Exploration introduces new content to users, while exploitation focuses on recommending relevant content depending on user engagement. This strategy maintains user interest and adapts to changing preferences

Additionally, Cheng et al. (2022) note that short-video platforms combine advertising into entertainment content, allowing businesses to reach consumers naturally.

5. Consumer Engagement and Platform Experience

Consumer engagement is main piece of reflecting the effectiveness of personalized marketing.

According to Shen (2014), personalized recommendations improve user satisfaction by delivering content that aligns with individual interests and preferences. To enhance customer satisfaction, customizing suggestion personally are also found by adjusting individual demand content, which in turn increases websites stickiness and repurchase intentions, claims by Hassan et al (2025)

Attractive design platforms also play a significant role in shaping user participation. On TikTok, personalized short videos are delivered in a non-stop stream, encouraging scrolling without any effort from users. The longer users stay on the platform, the more frequency exposure to advertising content. Conversely, personalization on Google usually occurs when users conduct searches or browse websites proactively. Although this environment shows fewer interactions than social media feeds, it reaches users at the right moments of active information seeking, which often leads to higher purchase intention.

Discussion

1. Comparison of Personalization Strategies

Aspect	Google	TikTok
Core algorithm approach	Intent-based targeting algorithm	Engagement-driven recommendation algorithm
Data source	Search queries, browsing history, first-party data	Watch time, likes, comments, shares, interaction behaviors
Recommendation method	Keyword matching, contextual targeting, machine learning ranking	Exploration-exploitation recommendation system
User behavior signal	Explicit user intention (active searching)	Implicit user behavior (content consumption patterns)
Content format	Search results, display ads, sponsored links	Short-form video feed and creator content
Marketing outcome	Higher conversion probability	Higher engagement and discovery potential

Table 1 Comparison of personalization strategies

Table 1 shows the main differences used by Google and TikTok in personalization algorithms. While Google focuses primarily on intent-based targeting leaning on search behavior, engagement signals from user interactions have been relied on by TikTok platform to generate personalized content suggestions.

The analysis shows that Google and TikTok apply distinct personalized marketing approaches.

Google relies on user intent derived from search and browsing behavior, enabling businesses to target consumers with specific needs and improve conversion. However, its limitation lies in restricted demand generation, as advertising depends on user-entered keywords rather than introducing new interests.

In contrast, TikTok uses behavioral engagement data to predict user preferences and recommend content. This allows the platform to expose users to new products and content before explicit demand arises, enhancing discovery and engagement.

Overall, each platform has unique strengths, reflecting the diversity of personalized marketing strategies in today's digital landscape.

2. Revenue Growth Analysis (2020–2024)

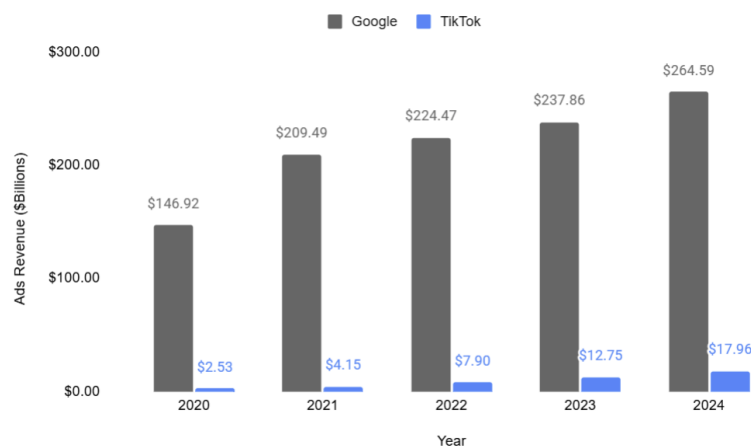


Figure 3 Advertising Revenue between Google and TikTok in 5 consecutive years (Bianchi, 2025 and Tafradzhiyski, 2025)

For over five-year period from 2020 to 2024, the trendline of advertising revenue has been published in Figure 3 highlighting the contrasting growth dynamics between these two well-known virtual platforms Google and TikTok. Google consistently led the race in generating significantly effective advertising revenue, increasing by \$117.67 billion, marking approximately 50% increase (from \$146.92 billion in 2020 to \$264.59 billion) in 2024. It has been reflected in Google's strong position in search-based advertising and capacity for seizing high purchase intent from users. Within the same period, even though TikTok's advertising revenue is much smaller, it climbed rapidly from \$2.53 billion to \$17.96 billion. This remarkable improvement showcases the growing influence of social media platforms in shaping digital marketing strategies and attracting advertising investment.

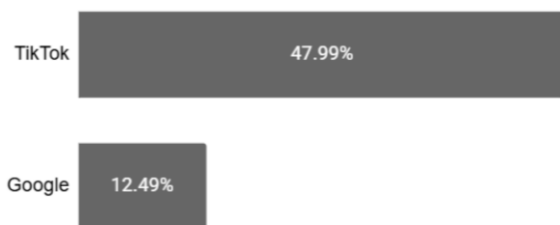


Figure 4 Compound annual growth rate (CAGR)

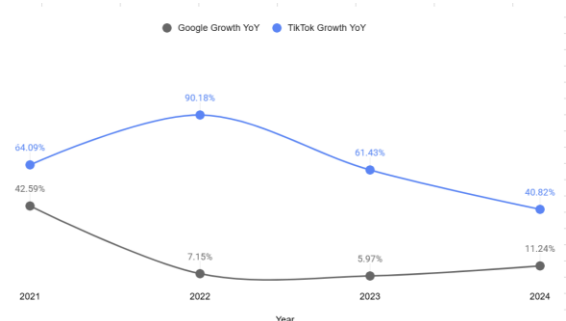


Figure 5 Growth trendline Year over Year (YoY)

Not only that, but a clearer understanding of long-term growth can be observed through the compound annual growth rate (CAGR), which could be the effective aspect of identifying the strength of strategies to aim for the highest.

$$CAGR = \left(\frac{Ending\ Value}{Beginning\ Value} \right)^{1/n} - 1$$

"with n is the number of years"

During the span of 2020 to 2024, TikTok achieved an estimated CAGR of approximately 48%, significantly higher than Google's CAGR of around 12.5%, based on the dataset of advertising revenue (Bianchi, 2025; Tafradzhiyski, 2025). While this substantial difference reveals that TikTok is still in a rapid expansion phase within the digital advertising ecosystem, Google symbolizes a more mature and stable platform with growth consistently. More than that, the year-over-year (YoY) trends depicted in Figure 5 reinforce this distinction. At its significant achievement in 2022, TikTok experienced exceptionally high growth rates, by 90.18% before showing the plateauing in following years. In the meantime, Google's YoY growth fluctuated within a narrower range, diving post-2021 before bouncing back slightly by 2024. These trendlines illustrate that TikTok's personalized recommendation algorithm and highly engaging short-form video content are increasingly attracting businesses or marketers seeking to connect with younger and highly active audiences. While Google remains the market leader by the actual revenue, TikTok is also considered as the virtual character popular among young trendsetters noted by Cheng et al (2022) regarding this rapid growth. Its strong CAGR and consistently higher growth rates identify the platform's increasing relevance in modern digital marketing, particularly for brand discovery and customers' engagement.

3. Revenue Forecasting Expansion and User Contribution

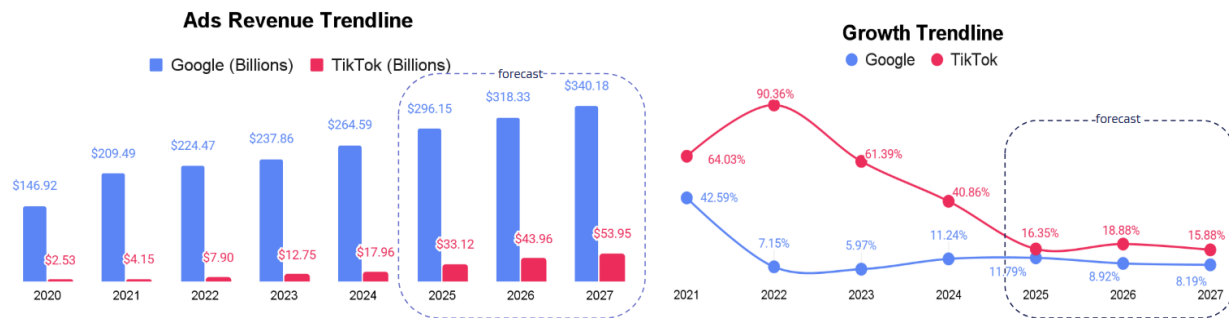


Figure 6 Revenue Forecast Trendline

By using linear regression (FORECAST.LINEAR) via Excel, the projected advertisement revenue for both 2 platforms shows the growth stably, but with different patterns. Google's revenue is forecasted to grow steadily from \$264.6B in 2024 to \$340.2B in 2027, proving mature and stable business in personalized marketing. Conversely, TikTok's revenue is projected to rise slightly from \$17.96B in 2024 to \$53.95B in the next three years, 2027. This reflects the increasing advertiser adoption. Unfortunately, based on the growth trendline, it shows the downward trend since the peak in 2022 and hit rock bottom in 2025 by 16.35% in the percentage of growth.

This “slowdown” could result from market saturation, competition with other platforms related to the same field, and especially the user's contribution which focuses on ages. It also mentioned by Cheng et al (2022), the large number of TikTok users come from young trendsetters. The figure below visualizes deeper the reason why the marketing revenue of TikTok has been fluctuating over time.

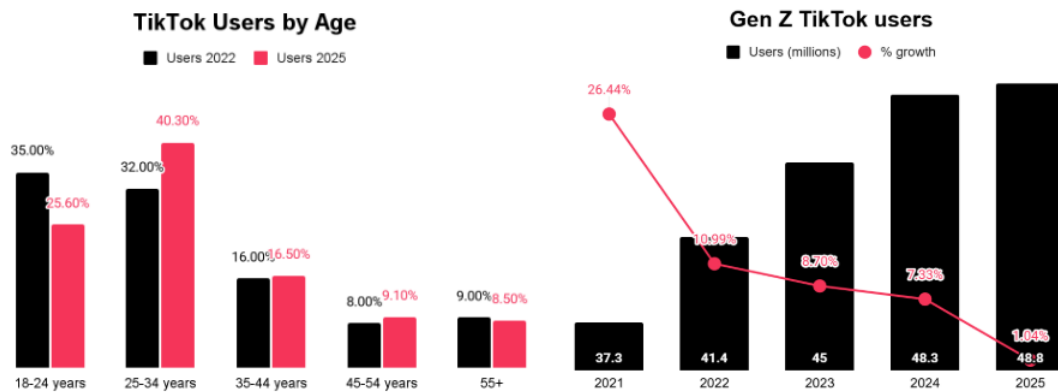


Figure 7 TikTok Age Contribution Breakdown (Fabio, 2026)

Total users grew from 37.3M (2021) to 48.8M (2025), but the growth shows the downward trend from 26.44% to 1.04%, indicating saturation. At the same period, age 25 to 34 years became the dominant segment, while 18-24 declined significantly. The slowing growth rate and demographic shift signal TikTok is transferring from “young and energetic platform” toward a more stable and mature market.

Conclusion

This study compared the personalized marketing strategies used by Google and TikTok and evaluated their effectiveness based on advertising revenue trends from 2020 to 2024. The paper shows that Google relies on intent-based personalization through search data and first-party information, enabling advertisers to reach users with high purchase intent, but it is limited in generating new consumer interest. In contrast, TikTok utilizes an engagement-driven recommendation algorithm which personalizes content based on user interactions and behavioral patterns, though its effectiveness may decline as market saturation increases.

The analysis results show that the effectiveness of personalized marketing depends on the strategic objectives of businesses and marketers. Companies focusing on immediate demands and conversion may benefit from Google, while those aiming to enhance engagement and raise brand awareness could find TikTok more relevant.

Although TikTok has demonstrated essentially higher growth rates than Google, recent trends indicate that there is a slowdown in user growth and increasing market saturation, particularly among Gen Z users. This result raises the concern that TikTok needs to find a next step for its personalization algorithms and expand its reach to broader user segments.

Besides the continuous improvement in each platform, future research may further explore how emerging technologies, data privacy regulations, and evolving consumer behavior will shape the development of personalized marketing strategies across digital platforms.

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